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Rechecking the Story

Every few months it's worthwhile to recheck the company story. This may involve reading the latest *Value Line,* or the quarterly report, and inquiring about the earnings and whether the earnings are holding up as expected. It may involve checking the stores to see that the merchandise is still attractive, and that there's an aura of prosperity. Have any new cards turned over? With fast growers, especially, you have to ask yourself what will keep them growing.

There are three phases to a growth company's life: the start-up phase, during which it works out the kinks in the basic business; the rapid expansion phase, during which it moves into new markets; and the mature phase, also known as the saturation phase, when it begins to prepare for the fact that there's no easy way to continue to expand. Each of these phases may last several years. The first phase is the riskiest for the investor, because the success of the enterprise isn't yet established. The second phase is the safest, and also where the most money is made, because the company is growing simply by duplicating its successful formula. The third phase is the most problematic, because the company runs into its limitations. Other ways must be found to increase earnings.

As you periodically recheck the stock, you'll want to determine whether the company seems to be moving from one phase into another. If you look at Automatic Data Processing, the company that processes paychecks, you see that they haven't even begun to saturate the market, so Automatic Data Processing is still in phase two.

When Sensormatic was expanding its shoplifting detection system into store after store (the second phase), the stock went from $2 to $40, but eventually it reached the limit—no new stores to approach. The company was unable to think of new ways to maintain its momentum, and the stock fell from $42½ in 1983 to a low of $5⅝ in 1984. As you saw this time approaching, you needed to find out what the new plan was, and whether it had a realistic chance to succeed.

When Sears had reached every major metropolitan area, where else could it go? When The Limited had positioned itself in 670 of the 700 most popular malls in the country, then The Limited finally was.

At that point The Limited could only grow by luring more customers to its existing stores, and the story had begun to change. When The Limited bought Lerner and Lane Bryant, you got the feeling that the fast growth was over, and